

for Amazon?” Thompson asked. “Sure.”

Let’s go back to early 2003:

- \$21.94 share price
- enterprise value = \$8.3 billion
- 2002 sales of \$3.9 billion
- 2002 earnings before interest and taxes, ex-R&D = \$279 million
- 2002 adjusted operating margin = 7 percent
- EV/EBIT = 33, an extremely steep multiple

“At this point though,” Thompson adds, “a tiny fraction of the United States was online. And an even-tinier fraction of retail sales was made online. In other words, the runway was massive.” (See that chart above.)

“Let’s say you projected sales growth of 30% per year,” Thompson continues. “Your 2005 Sales target would be = \$7.6B. Put a 10% margin on that, consistent with the trend of EBIT ex-R&D. You’d be buying Amazon right at 10 times 2005 operating income ex-R&D. That’s a very conservative multiple.”

I pause here to note this wouldn’t have been easy, but it would have been possible to think about.

“Along with earnings growth, share price had grown as well,” Thompson says. “Your \$21.94 investment had risen to \$43.92 by February of 2006. That’s a double in three years, for a compounded annual growth rate of 26%. And over that same period you would have crushed the S&P 500, which had risen half that at just 50%, or 14.3% per year.

“By 2006 you were along for the *long* ride. Hanging on to shares up until May of 2015 would have netted you a 15-bagger, or a compounded 26% annualized return. Once again, extremely impressive.”

So it would not have been easy to net a 100-bagger on Amazon. You would have to have had a strong conviction early that as an idea it would work. And you would have had to sit through a soul-crushing decline, where it lost more than 80 percent of its value.

But you also would have had many chances to buy it at those low